

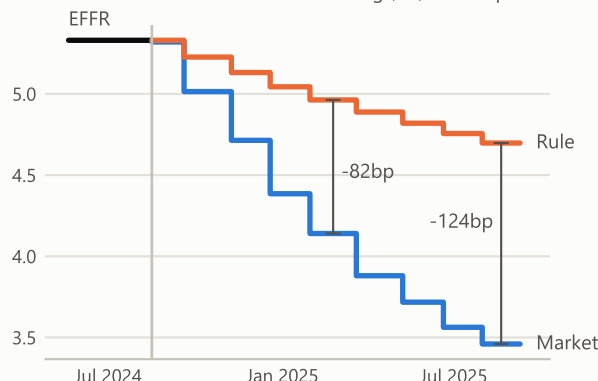
Does the market price the Fed's own rule?

Weekly brief, 16 August 2024 · USD and GBP as of 16 August 2024 · generated 2026-10-07

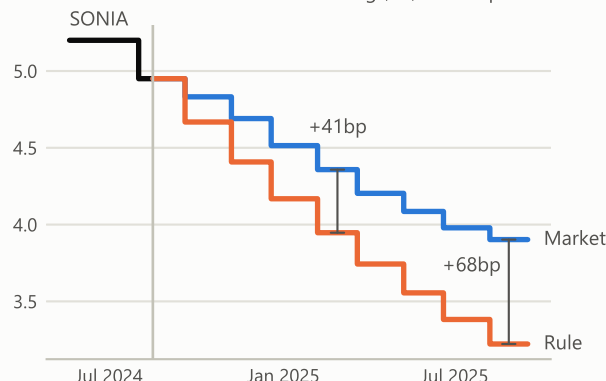
The policy path each market prices over the next eight meetings, against the path the Fed's own balanced-approach rule takes on that currency's data public that day, today's inputs held flat. The gap is market minus rule, z-scored against its trailing two years.

— Realized overnight rate — Market-implied path — Rule path, today's inputs held flat Brackets: the gap at the fourth and eighth meetings

USD: fed funds next 8 FOMC meetings, %; market path from ZQ



GBP: Bank Rate next 8 MPC meetings, %; market path from OIS



The gaps at the first, fourth and eighth meetings ahead

	Gap, market – rule, bp			z		
	1st	4th	8th	1st	4th	8th
USD	-21	-82	-124	-1.6	-1.1	+0.1
GBP	+16	+41	+68	+0.9	+1.1	